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INTERIM FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30TH JUNE 2020

AgStar PLC

Consolidated Statement of Profit or Loss and Other Comprehensive Income



	Three months ended 30th June		Change	Year ended
	2020	2019		31st March
(Rs.Mns)	Un Audited	Un Audited		Audited
Continuing operations				
Revenue	573.52	541.03	6%	1,734.84
Cost of sales	(344.70)	(317.08)	-9%	(1,011.58)
Gross profit	228.82	223.95	2%	723.26
Other income	3.65	13.64	-73%	32.00
Distribution expenses	(17.06)	(24.47)	30%	(117.72)
Administration expenses	(61.18)	(68.19)	10%	(286.32)
Other expenses	-	-	0%	(91.38)
Net finance income/(costs)	(45.94)	(29.43)	-56%	(54.33)
Profit/(loss) before tax	108.29	115.50	-6%	205.51
Income tax expense	(22.47)	(20.83)	-8%	(63.98)
Profit/(loss) from continuing operations	85.82	94.67	-9%	141.53
Discontinued operations				
Loss from discontinued operations (net of tax)	(0.04)	(0.33)	88%	(3.53)
Profit/(loss) for the period	85.78	94.34	-9%	138.00
Attributable to :				
Owners of the parent	85.78	94.34	-9%	138.00
Non-controlling interests	-	-	-	-
	85.78	94.34	-9%	138.00
Basic earnings/(loss) per share (Rs.)	0.26	0.29	-9%	0.42
Consolidated Statement of Comprehensive Income				
Profit/(loss) for the period	85.78	94.34	-9%	138.00
Other comprehensive income/(expense):				
Revaluation gain on right of use assets	-	65.20	-100%	-
Revaluation gain on property, plant and equipment	-	-	-	91.48
Deferred tax impact on revaluation of property, plant and equipment	-	-	-	(25.62)
Actuarial loss on post employment benefit obligations	-	-	-	(0.21)
Income tax on other comprehensive income	-	-	-	0.06
Other comprehensive income for the period, net of tax	-	65.20	-100%	65.71
Total comprehensive income/(expense) for the period, net of tax	85.78	159.54	-46%	203.71
Attributable to :				
Owners of the parent	85.78	159.54	-46%	203.71
Non-controlling interests	-	-	-	-
	85.78	159.54	-46%	203.71

The above figures are provisional and subject to audit.

Figures in brackets indicate deductions.

AgStar PLC



Company Profit or Loss and Other Comprehensive Income

(Rs.Mns)	Three months ended 30th June		Change	Year ended
	2020	2019		31st March
	Un Audited	Un Audited		Audited
Revenue	360.61	405.73	-11%	1,268.00
Cost of sales	(213.69)	(230.62)	7%	(726.33)
Gross profit	146.92	175.11	-16%	541.67
Other income	3.48	2.77	26%	83.17
Distribution expenses	(13.08)	(15.19)	14%	(84.17)
Administration expenses	(46.76)	(51.57)	9%	(218.13)
Other expenses	-	-	0%	(8.04)
Net finance income/(costs)	(45.13)	(30.00)	-50%	(53.27)
Profit/(loss) before tax	45.43	81.12	-44%	261.23
Income tax expense	(13.43)	(21.37)	37%	(67.91)
Profit/(loss) for the period	32.00	59.75	-46%	193.32
Company Statement of Comprehensive Income				
Profit/(loss) for the period	32.00	59.75	-46%	193.32
Other comprehensive income:				
Revaluation gain on right of use assets	-	43.15	-100%	-
Revaluation gain on property, plant and equipment	-	-	-	34.01
Deferred tax impact on revaluation of property, plant and equipment	-	-	-	(9.52)
Actuarial loss on post employment benefit obligations	-	-	-	(0.18)
Income tax on other comprehensive income	-	-	-	0.05
Other comprehensive income for the period, net of tax	-	43.15	-100%	24.36
Total comprehensive income/(expense) for the period, net of tax	32.00	102.90	-69%	217.68

The above figures are provisional and subject to audit.

Figures in brackets indicate deductions.

Statements of Financial Position

(Rs.Mns)	Group			Company		
	As at	As at	As at	As at	As at	As at
	30/06/2020	30/06/2019	31/03/2020	30/06/2020	30/06/2019	31/03/2020
	Un Audited	Un Audited	Audited	Un Audited	Un Audited	Audited
ASSETS						
Non-current assets						
Property, plant and equipment	1,699.30	1,518.76	1,650.87	434.99	382.87	398.78
Right of use asset	5.19	70.96	3.52	1.87	44.76	17.89
Intangible assets and goodwill	62.06	56.53	62.41	0.39	-	0.42
Investments in subsidiaries	-	-	-	491.58	492.83	491.58
Deferred tax assets	13.67	1.25	13.67	-	-	-
	1,780.22	1,647.50	1,730.47	928.83	920.46	908.67
Current assets						
Inventories	331.72	242.87	362.69	179.25	49.34	207.24
Trade and other receivables	3,681.37	3,021.18	3,211.62	3,432.27	2,894.19	3,057.02
Amount due from related companies	-	-	-	573.88	542.98	605.07
Current tax receivable	7.58	7.58	7.90	7.58	7.58	7.58
Cash and cash equivalents	100.22	190.81	83.64	65.29	43.69	45.41
	4,120.89	3,462.44	3,665.85	4,258.27	3,537.78	3,922.32
Assets classified as held for sale	511.25	514.23	513.05	260.83	260.83	260.83
Total current assets	4,632.14	3,976.67	4,178.90	4,519.10	3,798.61	4,183.15
Total assets	6,412.36	5,624.17	5,909.37	5,447.93	4,719.07	5,091.82
EQUITY AND LIABILITIES						
Equity						
Stated capital	1,204.09	1,204.09	1,204.09	1,204.09	1,204.09	1,204.09
Revaluation reserve	674.45	726.34	674.45	196.71	215.37	196.71
Retained earnings	1,231.89	1,050.05	1,146.11	1,155.80	990.36	1,123.80
Equity attributable to owners of the parent	3,110.43	2,980.48	3,024.65	2,556.60	2,409.82	2,524.60
Non-controlling interests	-	-	-	-	-	-
Total equity	3,110.43	2,980.48	3,024.65	2,556.60	2,409.82	2,524.60
Non-current liabilities						
Employee benefits	28.92	29.93	29.82	28.78	29.85	29.69
Deferred tax liabilities	358.78	269.79	345.39	133.96	64.51	120.52
Deferred income	1.78	3.27	2.15	1.78	3.27	2.15
Lease liability	4.06	4.98	2.01	2.01	2.02	2.01
	393.54	307.97	379.37	166.53	99.65	154.37
Current liabilities						
Trade and other payables	1,537.07	1,483.45	990.32	1,384.27	1,421.88	953.02
Loans and borrowings	1,354.83	807.48	1,474.60	1,339.23	746.52	1,434.59
Lease liability	0.43	-	0.78	0.03	-	0.22
Current tax liabilities	14.33	3.00	5.54	-	-	-
Bank overdrafts	1.27	41.32	31.89	1.27	41.20	25.02
	2,907.93	2,335.25	2,503.13	2,724.80	2,209.60	2,412.85
Liabilities classified as held for sale	0.46	0.47	2.22	-	-	-
Total current liabilities	2,908.39	2,335.72	2,505.35	2,724.80	2,209.60	2,412.85
Total liabilities	3,301.93	2,643.69	2,884.72	2,891.33	2,309.25	2,567.22
Total equity and liabilities	6,412.36	5,624.17	5,909.37	5,447.93	4,719.07	5,091.82
Net assets per share (Rs.)	9.57	9.17	9.31	7.87	7.41	7.77

The above figures are provisional and subject to audit.

Figures in brackets indicate deductions.

I certify that these financial statements have been prepared in compliance with the requirements of the Companies Act No.7 of 2007.

Sgd.

M R M Rizny
Accountant

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Sgd.

D N N Lokuge
Chairman

Sgd.

A P Weerasekera
Managing Director

August 13, 2020

AgStar PLC

Statement of Changes in Equity



(Rs.Mns)

Group

	<u>Equity attributable to owners of the parent</u>					Non-controlling interests	Total equity
	Stated capital	Revaluation reserve	Retained earnings	Total			
Balance as at 1st April 2019	1,204.09	661.14	1,020.71	2,885.94	-		2,885.94
Profit for the year	-	-	94.34	94.34	-		94.34
Other comprehensive income for the year	-	65.20	-	65.20	-		65.20
Total comprehensive income for the year	-	65.20	94.34	159.54	-		159.54
Dividend paid for 2018/2019	-	-	(65.00)	(65.00)			(65.00)
Balance as at 30th June 2019	1,204.09	726.34	1,050.05	2,980.48	-		2,980.48
Balance as at 1st April 2020	1,204.09	674.45	1,146.11	3,024.65	-		3,024.65
Profit for the year	-	-	85.78	85.78	-		85.78
Other comprehensive income for the year	-	-	-	-	-		-
Total comprehensive income for the year	-	-	85.78	85.78	-		85.78
Dividend paid	-	-	-	-	-		-
Balance as at 30th June 2020	1,204.09	674.45	1,231.89	3,110.43	-		3,110.43

Company

	Stated capital	Revaluation reserve	Retained earnings	Total equity
Balance as at 1st April 2019	1,204.09	172.22	995.61	2,371.92
Profit for the year	-	-	59.75	59.75
Other comprehensive income for the year	-	43.15	-	43.15
Total comprehensive income for the year	-	43.15	59.75	102.90
Dividend paid for 2018/2019	-	-	(65.00)	(65.00)
Balance as at 30th June 2019	1,204.09	215.37	990.36	2,409.82
Balance as at 1st April 2020	1,204.09	196.71	1,123.80	2,524.60
Profit for the year	-	-	32.00	32.00
Other comprehensive income for the year	-	-	-	-
Total comprehensive income for the year	-	-	32.00	32.00
Dividend paid	-	-	-	-
Balance as at 30th June 2020	1,204.09	196.71	1,155.80	2,556.60

The above figures are provisional and subject to audit.
Figures in brackets indicate deductions.



For the period ended 30th June, (Rs.Mns)	Group		Company	
	2020	2019	2020	2019
	Un Audited	Un Audited	Un Audited	Un Audited
Operating activities				
Profit before tax	108.29	115.50	45.43	81.12
Loss before tax from discontinued operations	(0.04)	(0.33)	-	-
Adjustments for :				
Depreciation	11.84	13.78	7.76	8.71
Amortisation on intangible assets	0.35	0.10	0.03	-
Interest income	(1.26)	(3.25)	(1.00)	(1.70)
Interest expenses	30.25	30.51	29.67	28.98
Interest expenses on lease (ROU)	0.14	0.17	0.07	0.07
Amortisation on right of use assets	0.28	0.79	0.01	0.34
Amortisation of deferred income	(0.37)	(0.37)	(0.37)	(0.37)
Provision/(reversal) of impairment on trade receivables	(0.65)	4.03	0.13	3.67
Changes in working capital:				
(Increase)/ decrease in inventories	30.96	289.27	27.99	259.31
(Increase)/ decrease in trade and other receivables	(130.83)	(91.87)	(20.55)	(16.89)
(Increase)/ decrease in subsidy receivable	(337.88)	(473.40)	(337.88)	(473.40)
(Increase)/ decrease in amounts due from related companies	-	-	31.20	(13.01)
Increase/ (decrease) in trade and other payables	547.76	244.12	431.27	256.21
Increase/ (decrease) in amounts due to related companies	-	-	-	(3.16)
Cash generated from/(used in) operations	258.84	129.05	213.76	129.88
Employee benefit paid	(0.91)	(0.57)	(0.91)	(0.57)
Interest paid	(30.25)	(30.51)	(29.67)	(28.98)
Income tax paid	-	-	-	-
Net cash generated from/(used in) operating activities	227.68	97.97	183.18	100.33
Investing activities				
Interest income received	0.09	0.83	0.03	0.78
Proceeds from disposal of property, plant and equipment	-	-	-	-
Purchase of property, plant and equipment	(1.59)	(1.65)	(1.59)	(0.70)
Addition to work in progress	(58.67)	(3.53)	(42.38)	-
Net cash generated from/(used in) investing activities	(60.17)	(4.35)	(43.94)	0.08
Financing activities				
Dividends paid	-	-	-	-
Borrowings - net movement	(119.75)	(175.82)	(95.36)	(206.52)
Repayment of lease liability (ROU)	(0.40)	(0.15)	(0.25)	-
Net cash generated from/(used in) financing activities	(120.15)	(175.97)	(95.61)	(206.52)
Net increase/ (decrease) in cash and cash equivalents	47.36	(82.35)	43.63	(106.11)
Cash and cash equivalents at the beginning of the period	52.83	232.46	20.39	108.60
Net increase/ (decrease) in cash and cash equivalents	47.36	(82.35)	43.63	(106.11)
Cash and cash equivalents at the end of the period	100.19	150.11	64.02	2.49
Analysis of cash and cash equivalent at the end of the period				
Cash at bank and in hand	43.14	27.38	24.75	6.85
Short term deposits	57.08	163.43	40.54	36.84
Bank overdrafts	(1.27)	(41.32)	(1.27)	(41.20)
Cash and cash equivalents classified as held for sale	1.24	0.62	-	-
	100.19	150.11	64.02	2.49

The above figures are provisional and subject to audit.

Figures in brackets indicate deductions.

1 Basis of Preparation

The interim condensed financial statements have been prepared in compliance with Sri Lanka Accounting Standards LKAS 34 - Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2020.

The presentation and classification of the financial statements of the previous year have been amended, where relevant, for better presentation and to be comparable with those of the current year.

The interim condensed financial statements are presented in Sri Lankan Rupees and all values are in Millions, unless otherwise stated.

2 Segment information

Management has determined the operating segments based on the reports reviewed by the Executive Board that are used to make strategic decisions.

Trading - Items which are directly imported and sold without further processing are categorised under this.

Non-trading - This segment includes the items which are further processed before sold.

Rs. Mns	Period ended 30/06/2020			Period ended 30/06/2019		
	Trading	Non-trading	Total	Trading	Non-trading	Total
Revenue	177.31	396.21	573.52	168.39	372.64	541.03
Cost of sales	(123.37)	(221.33)	(344.70)	(115.62)	(201.46)	(317.08)
Gross profit			228.82			223.95
<i>Unallocated expenses</i>						
Distribution expenses			(17.06)			(24.47)
Administrative expenses			(61.18)			(68.19)
Other income			3.65			13.64
Other Expenses			-			-
Operating profit			154.23			144.93
Net finance income/(cost)			(45.94)			(29.43)
Profit before tax			108.29			115.50
Tax expense			(22.47)			(20.83)
Profit for the period from continuing operations			85.82			94.67

Since the information on total assets and liabilities for each reportable segment are not provided to the Executive Board on regular basis, the segmented assets and liabilities are not provided.

3 Stated Capital

		Number of shares	Value of ordinary shares Rs.
As at 30th June 2020	- voting	307,526,310	1,186,251,558
	- non-voting	17,473,690	17,842,120
		325,000,000	1,204,093,678
As at 30th June 2019	- voting	307,526,310	1,186,251,558
	- non-voting	17,473,690	17,842,120
		325,000,000	1,204,093,678

4 Twenty Major Share holders -Voting shares

Name of shareholders	As at 30/06/2020		As at 31/03/2020	
	Number of shares	Holding %	Number of shares	Holding %
Sierra Holdings (Pvt) Ltd	97,514,400	31.71%	97,514,400	31.71%
Lanka Orix Leasing Company PLC	60,213,500	19.58%	60,213,500	19.58%
Browns Investments PLC	40,520,061	13.18%	40,520,061	13.18%
Sierra Construction (Pvt) Ltd	37,025,290	12.04%	37,025,290	12.04%
P & K Investments (Pvt) Ltd	20,500,000	6.67%	20,500,000	6.67%
Sampath Bank PLC/Dr.T.Senthilvel	10,627,982	3.46%	10,627,982	3.46%
Mr. N.G.R.Karunaratne	8,229,310	2.68%	8,229,310	2.68%
Mr. A.P Weerasekera	7,327,800	2.38%	7,295,800	2.37%
FLMC Plantations (Pvt) Ltd	3,150,000	1.02%	3,150,000	1.02%
Mr. D.N.N Lokuge	3,125,000	1.02%	3,125,000	1.02%
Mr. W.A.P Perera	3,120,000	1.01%	3,120,000	1.01%
Mrs. A.C.P Irugalbandara -Joint with Mrs. J M A Irugalbandara	1,500,000	0.49%	1,500,000	0.49%
Mr. S Karunaratna	1,250,000	0.41%	1,250,000	0.41%
Sierra Engineering And Construction (Private) Limited	1,021,607	0.33%	1,021,607	0.33%
Mr. M.S.S Ghazaly	1,000,000	0.33%	1,000,000	0.33%
Miss. G.S.M Irugalbandara	1,000,000	0.33%	1,000,000	0.33%
Mrs. A.C.P Irugalbandara	1,000,000	0.33%	1,000,000	0.33%
People's Leasing & Finance PLC/Mr.M.I.Samsudeen	902,586	0.29%	921,713	0.30%
Ghazaly Group International (Pvt) Ltd	530,000	0.17%	530,000	0.17%
Shari Investments Private Limited	518,200	0.17%	518,200	0.17%
Total	300,075,736	97.57%	300,062,863	97.57%

5 Share holding -Non-voting shares

Name of shareholders	As at 30/06/2020		As at 30/06/2019	
	Number of shares	Holding %	Number of shares	Holding %
Sierra Holdings (Pvt) Ltd	11,648,140	66.66%	11,648,140	66.66%
Mr.A.P.Weerasekera	5,824,550	33.33%	5,824,550	33.33%
Mr.A.B.Weerasekera	1,000	0.01%	1,000	0.01%
	17,473,690	100.00%	17,473,690	100.00%

6 Directors' share holdings

		As at 30/06/2020	As at 30/06/2019
		Number of shares	Number of shares
Mr.N.G.R.Karunaratne (Chairman)		8,229,310	8,229,310
Mr.D.N.N.Lokuge		3,125,000	3,125,000
Mr.A.P.Weerasekera (Managing Director)	-Voting Shares	7,327,800	7,243,310
	-Non-Voting Shares	5,824,550	5,824,550
Mr.W.A.P.Perera		3,120,000	3,120,000
Mr.D.S.K.Amarasekara		-	-
Ms.S.Wickramasinghe		-	-
Mr.R.K.A. Ranaweera		-	-
Dr.A.D.N. de Zoysa		-	-

7 Public holding

The percentage of public holding in voting and non-voting shares as at 30th June 2020 were,

	Public holding %	No of Shareholders
-Voting Shares	16.07%	991
-Non-Voting Shares	0.01%	1

The float adjusted market capitalisation as at 30th June 2020 is Rs. 203.8 Mn and minimum public holding requirement is compliant with option-2 as per Sec 7.13.1 (b) of the Listing Rule of CSE.

8 Market prices

	Rs.
Highest during the period	4.20
Lowest during the period	3.00
As at 30th June 2020	3.90

Market prices for the non-voting shares are not available since no trading occurred for the period

9 Events after the reporting date

There were no material events occurred after the reporting date that require adjustments to, or disclosure in the financial statements.

10 Commitments

There are no material capital or financial commitments outstanding as at the date of the statement of financial position, which require adjustment to or disclosure in the financial statements other than those mentioned below

AgStar PLC

The board has approved to fix solar panels to the buildings owned by the Group to generate power. The total estimated cost for the project is Rs. 130.7 Mn.

AgStar Properties (Pvt) Ltd

The board has approved to construct an additional 83,000sq.ft. of warehousing space and 10,880 sq.ft new admin building in Ekala. The development costs of Rs. 383.9 Mn has been estimated and approved by the Board

11 Contingent liabilities

There are no any material contingent liabilities outstanding as at the reporting date that require adjustments in the financial statements.

Corporate guarantee issued by AgStar PLC

The guarantees given to banks on behalf of AgStar Seeds (Pvt) Limited, AgStar Cropcare (Pvt) Limited, AgStar Grains (Pvt) Limited and Mahaweli Agro Trading (Pvt) Limited amounting to Rs.212 Mn, Rs.129 Mn, Rs.860 Mn and Rs.150 Mn respectively.

The guarantees given to local suppliers amounting to Rs.11.2 Mn.

**The Company**

AgStar PLC

Legal Form

A public Quoted Company incorporated
in Sri Lanka on 25th June 2002

Company Registration No.

PV1618 PB/PQ

Registered Office

AgStar PLC
09, Bawa Place, Colombo 08
Tel: +94 11 4812424, +94 11 7708040-3
Fax: +94 11 4810706
E-mail: info@agstaragri.com
Website: www.agstaragri.com

Board of Directors

Mr D.N.N.Lokuge
- Chairman/ Non Executive Director
Mr A.P.Weerasekera
- Managing Director
Mr D.S.K.Amarasekera
- Non Executive Director
Mr W.A.P.Perera
- Non Executive Director
Mr R.K.Athula Ranaweera
- Independent Non Executive Director
Dr (Mrs) A.D.N.de Zoysa
- Independent Non Executive Director
Ms S.Wickramasinghe
- Independent Non Executive Director

Audit Committee

Mr R.K.Athula Ranaweera (Chairman)
Dr (Mrs) A.D.N.de Zoysa
Ms S.Wickramasinghe

Remuneration Committee

Mr D.N.N.Lokuge (Chairman)
Mr R.K.Athula Ranaweera
Ms S.Wickramasinghe

Related Party Transactions Review Committee

Ms S.Wickramasinghe (Chairperson)
Dr (Mrs) A.D.N.de Zoysa
Mr R.K.Athula Ranaweera

Subsidiaries

AgStar Seeds (Pvt) Limited
AgStar Cropcare (Pvt) Limited
AgStar Grains (Pvt) Limited
AgStar Properties (Pvt) Limited
Mahaweli Agro Trading (Pvt) Limited
AgStar Exports (Pvt) Limited
Prith Seeds (Pvt) Limited
Royal Seeds Pvt) Limited

Secretaries

P R Secretarial Services (Pvt) Ltd
59, Gregory's Road, Colombo 07

Registrars

SSP Corporate Services (Private) Limited
101, Inner Flower Road, Colombo 03

Auditors

KPMG
P O Box 186
32A, Sir Mohamed Macan Markar Mawatha,
Colombo 03

Bankers

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
MCB Bank Limited
Nation Trust Bank PLC
NDB Bank PLC
Peoples' Bank
Public Bank
Sampath Bank PLC
Seylan Bank PLC

Legal Consultants

Paul Ratnayake Associates
59, Gregory's Road, Colombo 07

Sudath Perera Associates
5, 9th Lane, Nawala Road, Nawala